TERMINATION

LO 27-5

Describe the impact of terminating a sole proprietorship.

A sole proprietorship is terminated either by an express act of the principal or by operation of law in the case of the death or personal bankruptcy of the proprietor. Although a sole proprietor may sell the assets of their business to another party, the proprietor's *ownership* interest in a sole proprietorship cannot pass to their heirs through a gift or an estate. In **Case 27.2**, an appellate court analyzes the termination of a sole proprietorship in the context of **successor liability**.

CASE 27.2: Biller v. Snug Harbor Jazz Bistro of Louisiana, LLC, 99 So.3d 730 (4th Cir. 2012)

FACT SUMMARY

Brumat was the sole proprietor of Snug Harbor Jazz Bistro of New Orleans (Snug Harbor), a restaurant, bar, and music club. Brumat had leased a building on Frenchmen Street in New Orleans. In July 2007, Brumat died; pursuant to his last will and testament, all of his property, except a piano, was left to his niece, Luana Brumat (Luana). In September 2007, Luana and Brumat's former bookkeeper properly registered Snug Harbor, LLC, a Louisiana limited liability company. The filing listed themselves as its officers and used the Frenchmen Street address as its domicile and mailing address.

In 2009, Biller obtained an $80,000 judgment against Snug Harbor as a result of an accident that occurred at the Snug Harbor restaurant in April 2007. Seeking to enforce the judgment, Biller filed a petition alleging that the business entity Snug Harbor had operated continuously before and after the death of Brumat and that Snug Harbor, LLC, was a successor in interest to the Brumat sole proprietorship. On that basis, Biller argued that the LLC was liable for Brumat's debts in connection with the operation of the Snug Harbor restaurant.

Snug Harbor, LLC, denied liability for the judgment arguing that original Snug Harbor was a sole proprietorship that terminated upon the death of Brumat, and Snug Harbor, LLC, was a limited liability company that was formed after Biller's injury and after Brumat's death and was a separate and distinct entity. The trial court ruled that Snug Harbor, LLC, was a not a successor in interest to Snug Harbor because at the time of the accident, Brumat owned and operated Snug Harbor as a sole proprietorship. Biller appealed.

SYNOPSIS OF DECISION AND OPINION

The Court of Appeals for the Fourth Circuit affirmed the trial court's decision in favor of Snug Harbor, LLC. The court rejected Biller's argument that Snug Harbor, LLC, continued operating Snug Harbor as usual following Brumat's death because Snug Harbor's former bookkeeper was engaging in the same business at the same address. The court ruled that the business entity owned by Brumat terminated upon his death because it was a sole proprietorship. The parties (an heir and a former employee of Brumat) then properly and promptly formed a new entity that was a separate and distinct business entity (an LLC) from the sole proprietorship. The court pointed to the fact that the new entity entered into a new commercial lease agreement for the Frenchmen Street building and other necessary contracts as evidence that a new entity existed after Brumat's death.

WORDS OF THE COURT: No Successor Liability

"After reviewing the record, we find no error in the trial court's conclusion that Snug Harbor, L.L.C., is a separate, distinct entity from the late Mr. Brumat and his estate, and therefore, not liable for the debts of the succession. The evidence supports the trial court's finding that Snug Harbor, L.L.C., did not exist at the time of Mr. Biller's accident and was formed after Mr. Brumat's death. . . . We also note that plaintiffs neither asserted nor offered evidence that Ms. Brumat and Mr. Schmidt formed Snug Harbor, L.L.C., with the intent to defraud any creditor(s) of the succession. Absent any evidence of fraud and considering the evidence before us, we find the trial court properly dismissed plaintiffs' claims against Snug Harbor, L.L.C."

Case Questions

1. What evidence did Biller claim indicates that the LLC was a continuing entity and not a separate entity? Why did the court reject his theory?
2. The court pointed out that there was no evidence of fraud in the formation of the new entity. Why is that important? What kind of fraud could be committed in this context?
3. *Focus on Critical Thinking:* Is this a case of business owners using the law as a shield against a legitimate claim? Is it ethical to use the LLC as a way to escape liability? Is this fair to Biller?

Page 514

TAKEAWAY CONCEPTS Sole Proprietorships

Formation	Low start-up costs and minimal filing. One-person entity.
Liability of principal	All debts and liabilities of the business are the personal liabilities of the sole proprietor. All of the proprietor's assets are at risk to satisfy business debts and liabilities.
Capital	Proprietor uses personal assets, private loans, or a commercial loan.
Taxes	All income taxes of the business are paid at the proprietor's individual tax rate and reported on the proprietor's individual income tax return. Miscellaneous state and local taxes to operate business.
Management and control	One-person entity.
Designation	John Doe d/b/a Doe Consulting Services